

high, but that's in an ideal world. The bear market failure rate, at 4.5%, is terrific. The 17.7% failure rate in bull markets is not so terrific.

When you consider that a declining price trend in *bull* markets is like swimming against the current, you would expect a high failure rate. Swim with the bear market current and the failure rate drops to one-fourth the bull market rate.

Average decline after D. Point D ends the pattern and price is supposed to head lower. The average decline is 14.3% in bull markets but substantially better in bear markets, over 20%.

Volume trend, performance. I measured the volume trend using linear regression but often you can tell the trend just by looking at the chart. [Figure 4.2](#), for example, shows volume (E) higher on the left half of the pattern than the right half, so the trend is downward. In fact, the average bearish bat will have a downward volume trend at least most of the time.

Does the volume trend give us any hint of better or worse performance? Not that you'd notice. The widest spread between the two numbers is one percentage point in bull markets. That's probably not statistically significant.

Trading Tactics

The real purpose of the bearish bat is for swing traders to predict the turn at D and then go short, anticipating a drop to the bottom of the pattern. Will price sink that far? Maybe, maybe not. Let's look at some numbers to see if we can model behavior better.

[Table 4.3](#) Price Move after Pattern End

Description	Bull Market	Bear Market
How often does price turn at D?	86%	86%
How many drop to point A?	35%	38%
How many drop to point B?	81%	80%
How many drop to point C?	48%	46%